

December 2011

International Auditing Practice Note (IAPN) 1000

Special Considerations in Auditing Financial Instruments

This summary provides an overview of IAPN 1000, *Special Considerations in Auditing Financial Instruments*

Project Objective:

The objective of the project was to provide practical guidance to auditors on auditing financial instruments.

The project was undertaken in the context of the increasing use of fair value estimates associated with financial instruments. In undertaking this project, the IAASB recognized the challenges both preparers and auditors continue to face in the economic environment resulting from the global financial crisis, which gave rise to issues regarding valuations and financial statement disclosures about risks and uncertainties relating to financial instruments.

Available for use:

Immediately.

For more information:

Visit the project history at <http://www.ifac.org/auditing-assurance/projects/guidance-auditing-complex-financial-instruments-0>

Next steps:

The IAASB plans in the near future to further consider issues relating to fair value accounting estimates and whether there is a need for further enhancements to the ISAs or the development of additional implementation guidance.

Who should use IAPN 1000?

Although IAPN 1000 focuses primarily on the needs of auditors who have less frequent contact with financial instruments, it is relevant to auditors of entities of all sizes, as all entities may be subject to risks of material misstatement when using financial instruments.

IAPN 1000 has been developed to provide practical assistance to a broad range of auditors with different levels of familiarity with financial instruments. Nevertheless, auditors who have less familiarity with financial instruments will likely derive the most benefit from the IAPN in the conduct of their audits.

IAPN 1000 provides background and educational material to assist auditors who have less familiarity with financial instruments in understanding some common features of financial instruments; how they are used, managed and controlled by entities; and particular financial reporting issues associated with the instruments, for example, valuation (Section I of IAPN 1000).

Auditors of entities that make greater use of financial instruments, for example, financial institutions, are likely to be more familiar with financial instruments and the related requirements of the applicable financial reporting framework. Accordingly, the IAPN has been designed to enable these auditors to go directly to the guidance on relevant auditing considerations (Section II of IAPN 1000).

What is an IAPN?

The IAASB created IAPNs as a new category of publication to provide practical assistance to auditors. IAPNs are non-authoritative documents that do not impose additional requirements on auditors beyond those included in the International Standards on Auditing (ISAs), nor do they change the auditor's responsibility to comply with all ISAs relevant to the audit.

IAPNs are intended to be disseminated by those responsible for national auditing standards, or used in developing corresponding national material. They also provide material that audit firms can use in developing their training programs and internal guidance.

The amended [*Preface to the International Quality Control, Auditing, Reviews, Other Assurance and Related Services Pronouncements*](#), released in December 2011, provides further explanation about how IAPNs may assist auditors.

What issues does IAPN 1000 cover?

IAPN 1000 covers the significant issues that auditors are most likely to encounter in practice when auditing financial instruments. It focuses specifically on issues around risk, assertions, controls and other matters that are of particular importance to the audit of these instruments.

IAPN 1000 does not address the simplest financial instruments (such as cash or trade accounts receivable or payable), nor the most complex ones. It also does not address specific accounting requirements relevant to financial instruments, such as those relating to hedge accounting, offsetting or impairment, amongst others.

Section I – Background Information about Financial Instruments

Section I provides background material to assist the auditor in better understanding financial instruments. This section covers, amongst other matters:

- The entity's purpose in using financial instruments;
- Risks pertaining to their use;
- Controls that entities may have over their use, including controls over completeness, accuracy, and existence; and
- Valuation considerations, including common financial reporting requirements, valuation processes and controls, the use of third-party pricing sources, and presentation and disclosure requirements and practices.

Section II – Audit Considerations Relating to Financial Instruments

Section II enables auditors with previous experience with financial instruments to quickly access relevant auditing considerations. It covers the following major areas:

- The importance of professional skepticism in an audit involving financial instruments;
- Considerations for the audit planning process;
- Assessing and responding to risks of material misstatement, particularly whether and to what extent to test the operating effectiveness of controls, the timing of audit procedures, and considerations relevant to designing substantive procedures; and
- Valuation, including issues around the fair value hierarchy, management's use of a third-party pricing source or expert, and considerations relevant to developing the auditor's own point estimate or range.

Other matters covered include presentation and disclosure, use of the work of the internal audit function, and communication with those charged with governance and regulators.

What does IAPN 1000 say about valuation?

Valuation is an important area of focus in auditing financial instruments. IAPN 1000 includes guidance on how risks of material misstatement pertaining to the valuation of financial instruments may arise, how an entity may value its financial instruments, and the role of outside parties, including both experts and third-party pricing sources.

Complex financial reporting requirements

Some financial reporting frameworks, such as International Financial Reporting Standards (IFRS), have complex requirements regarding financial instruments. Section I describes the major considerations, such as the use of a fair value hierarchy. Section II describes the impact complex requirements of the applicable financial reporting framework may have on the audit process.

Areas addressed by IAPN 1000 include:

- The fair value hierarchy;
- The effects of inactive markets;
- Management’s valuation processes; and
- The use of models, third-party pricing sources and experts.

Risk Assessments

Risks of material misstatement can be associated with both the valuation techniques themselves, or with the controls around the valuation techniques. Accordingly, IAPN 1000 highlights some of the considerations around risks that are relevant to the valuation of financial instruments. It also explains that significant risks may include: high measurement uncertainty; a lack of evidence; a lack of management understanding of its financial instruments or of complex financial reporting requirements thereon; and the significance of valuation adjustments.

Models

Models may be used to value financial instruments when the price cannot be directly observed in the market. Models can be as simple as a commonly used bond pricing formula, or involve complex, specifically developed software tools.

IAPN 1000 discusses matters that management commonly addresses when valuing financial instruments using a model. It also highlights audit considerations regarding: how models may be tested when using inputs from different levels of the fair value hierarchy or when models are of differing levels of complexity; the involvement of those charged with governance in reviewing management’s valuation processes; the impact of inactive or dislocated markets; and the use of third-party pricing sources.

What are third-party pricing sources, and how do they affect the audit?

Entities often make use of a third party to obtain fair value information, particularly when expertise or data are required that management does not possess or when pricing a large number of securities in a portfolio over a short timeframe.

What are third-party pricing sources?

Third-party pricing sources generally encompass pricing services, including consensus pricing services, and brokers.

Pricing services provide entities with prices and price-related data for a variety of financial instruments, often performing daily valuations of large numbers of financial instruments. These valuations may be made by collecting market data and prices from a wide variety of sources, including market makers, and, in certain instances, using internal valuations techniques to derive estimated fair values. Pricing services may combine a number of approaches to arrive at a price.

Consensus pricing services obtain pricing information about an instrument from several

participating entities (subscribers).

Each subscriber submits prices to the pricing service. The pricing service treats this information confidentially and returns to each subscriber the consensus price, which is usually an arithmetical average of the data after a data cleansing routine has been employed to eliminate outliers. For some markets, such as for exotic derivatives, consensus prices might constitute the best available data.

Brokers may also provide quotes to their clients. These quotes differ in many respects from prices obtained from pricing services. Brokers may be unwilling to provide information about the process used to develop their quote, but may have access to information on transactions about which a pricing service may not be aware. These quotes may be either executable (i.e., an offer to purchase) or indicative only.

How do third-party pricing sources affect the audit?

Understanding how the pricing sources calculated a price enables management to determine whether such information is suitable for use in its valuation, including as an input to a valuation technique, and in what level of inputs the security should be categorized for disclosure purposes. Equally, understanding how management uses the information and how the pricing service operates assists the auditor in determining the nature and extent of audit procedures needed.

Developing an audit approach involves considering matters such as the type of third-party pricing source used and its reputation, experience and objectivity, the nature of inputs used and the complexity of the valuation technique, and the relevant controls of the entity and the pricing source.